

— EDITION 15

Whu Great Fintechs Fail

I studied 20 venture-backed fintech post-mortems. They didn't fail because of bad tech. They failed because of these 3 structural blind spots.

A 6-part breakdown

SWIPE >>>>

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Inside the Fintech Post-Mortem.

Fintech is hard. Building an attractive app interface is straightforward, but navigating systemic operational realities, compliance hurdles, and margin compressions causes most collapses.

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Lesson 1: The Sponsor Bank Single-Point-of-Failure.

Many fintech platforms rely entirely on a single partner bank to access clearing rails. When regulators freeze that single sponsor bank, the fintech's operations can vanish overnight.

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Lesson 2: Misunderstanding Compliance Overhead.

Startups frequently underestimate the long-term capital required to scale transaction monitoring, anti-fraud tools, and regulatory reporting as total transaction volume grows.

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Lesson 3: Building a Wrapper Instead of a Ledger.

If your platform merely acts as a cosmetic UI layer over someone else's infrastructure, you possess no structural pricing power and remain highly vulnerable to margin compression.

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The Survival Kit for Next-Gen Founders.

Modern fintech founders must build robust, multi-bank redundancies into their systems from day one and prioritize establishing deep control over their underlying ledger infrastructure.

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What the Graveyard Teaches Agentic Builders.

As we transition to agentic commerce, success will belong to infrastructure teams who focus on solving real compliance and ledger bottlenecks rather than creating basic wrappers.

— THE TAKEAWAY

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◆ Joseph Bankole